EnCompass LLC

WHITE PAPER



Multicultural Leadership Development in the 21st Century

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Introduction

In our leadership development work with international clients over the past decade, we have increasingly found ourselves faced with the question: "*Is one dominant leadership model enough in today's global work environment*?" Our work has always been global in scope and we have made it a priority to design programs and development approaches suited to multicultural audiences, and to be culturally competent ourselves.

As the very nature of the terms "global" and "globalization" evolve and we find ourselves working with increasingly diverse groups, we have recently felt the need to dig deeper and examine more closely the values, attributes and practices of leadership viewed from multiple cultural perspectives. Increasingly, there is a view that western leadership theory and practice predominate, which at a minimum does not adequately represent or expand the richness of leadership wisdom that exists and is practiced in many parts of the world.

While there are a number of emerging models of global leadership, we believe that there is one dimension which is key yet relatively unaddressed in terms of practical guidance for today's managers. It relates to what can be learned from understanding and appreciating the ways in which culture influences leadership effectiveness, as well as the nuances of the various leadership styles found throughout the world. Currently, there is not a significant body of research available about the specific implications and relative effectiveness of these different leadership styles.

In this paper we offer some of our thoughts on Multicultural Leadership and why we believe it is particularly important now to explore some new thinking and ideas that will advance leadership development initiatives.

Leading in a World of Cultural Connectivity

In all global organizations – multinational corporations, government bodies, and non–profits – not only do leaders represent various cultures themselves, but they frequently lead within a multicultural environment, with teams, clients, partners, vendors, government representatives, community members, and other key stakeholders coming from very different cultural backgrounds and work experiences. This multiplicity of cultures shapes the definitions, expectations, experiences, and expressions of what leadership is, and what it needs to be. Rosen & Digh (2001) noted: "*In the new borderless economy, culture doesn't matter less; it matters more.*" Other variables such as gender, generation, socio–economic status, race, and ethnicity factor into the landscape and call for a leadership mindset and skills that can competently traverse this multi–faceted terrain. And finally, in this world of complex diversity, our new dependence on social media both connects and disrupts our sense of how things work. Models that have been relied on to guide "effective" leadership behavior can no longer be assumed.

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This is especially true in international organizations, such as the United Nations' agencies. Fabrizio Hochschild, in his 2009 study on Leadership in the UN, ("In and Above Conflict: A Study on Leadership in the UN") describes UN staff as "*diverse not only in nationality but in other areas such as professional backgrounds, levels and types of university education, in values and in languages.*" In 2012, EnCompass co–facilitated several Dialogues with UN leaders and found that the majority of attendees could directly relate influences in their society (and their work experiences in other cultures) to their current leadership thinking and practices. They could also clearly identify specific practices of leadership, such as:

collaboration, trust building, dealing with conflict, influence and motivation that differed significantly from what are traditionally considered western leadership practices. This partially explains why participants in our UN courses are asking for a variety of management approaches, practices and examples. They need a "tool kit" that can be applied effectively, based on culturally impacted factors such as the context of the situation or the relationships involved.

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Even in companies that are already well established throughout the world, multicultural capabilities are increasingly becoming a significant source of competitive advantage and business strategy. A well–known food chain built a 40% share of the fast food market by tailoring its menu to local tastes and building a strong team of local managers. While this took patience and "just in time" learning, there were models in place for doing it. Senior business leaders in multinational companies recognize that one leadership approach, often the one they are most familiar with, is not necessarily going to be effective when operating in another country; however, these same companies still struggle with the internal management interaction between individuals from diverse cultures.

Multicultural Leadership Embraces More Than One Leadership Model

Numerous studies acknowledge the differences in work practices across cultures, including differences in what constitutes good leadership. As Cornelius Grove points out in *Nine Highlights from the GLOBE Project's Findings*, in a 2004 study of the 65 leader traits examined, 35 personal attributes of leaders are viewed in some societies as *contributing* to good leadership, and in other societies as *inhibiting* good leadership. Even those traits that are seen as desirable by all, when

expressed and enacted, may still noticeably differ from one society to another. For example, for a leader to be described as decisive in the U.S., he or she is expected to make quick and approximate decisions. In contrast, in France or Germany, being decisive tends to mean a more deliberate and precise approach to decision making. Decision–making practices in all of these countries contrast with the consensus style of countries such as Japan and Finland. This is just one example, and made at a generalized national level. Looking more closely, there is a great diversity of leadership styles within any one of these countries, making leadership a high–context function.

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Lisa Ncube (2010) in "UBUNTU: A Tranformative Leadership Philosophy," describes an African philisophy and leadership style in order to "add to the diversity and richness of the discourse" on leadership. Ali Mohammad Mir (2010) describes similarities in concepts such as Servant Leadership or Transformational Leadership and profound principles of leadership in Islam. Each of these traditions further enriches and expands our understanding of leadership in general and multicultural leadership specifically.

Romano Prodi, former Prime Minister of Italy, expressed it this way: "*The growing globalization of the world makes it increasingly important to understand…diversity. People with varying beliefs and values can live together and work together productively, but for this to happen it is critical to understand and appreciate their distinctive world views*."

This is amplified by Henry Mintzberg and Jonathan Gosling in the Harvard Business Review article "The Five Mindsets of a Manager" (2003) which introduced the idea of "worldly leadership"– looking at leadership in terms of all different worlds or even "worlds within worlds." They suggest that, rather than looking at leadership as a set of competencies and

approaches, we might be better served by helping managers look through different lenses or perspectives so they can concentrate on "being" rather than on "doing" in order to make better leadership choices.

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Many of the global leaders we work with describe themselves as operating in these "worlds within worlds" – i.e., how they build on every cultural experience, use the wisdom of the group, and adapt to the styles of people they work with. By doing so, they are often able to uncover new ideas, approaches and innovations that they would not have arrived at on their own and that can be implemented in each situation. This can apply even within local situations and "known cultures."

Sharon Turnbull, in her article, "Looking Beyond the West for Leadership," also supports this premise. In looking at the leadership wisdoms from many different cultures and societies, she has concluded that while western leadership knowledge and practices have been effective in many parts of the world in the past, this approach has limitations and will not suffice in addressing many challenges in today's global business environment. Building on the work of Mintzberg and Gosling, she focuses on leadership qualities (rather than competencies) such as: vision and inspiration; humility and wisdom; authenticity and courage; balance and responsibility.

While these emerging perspectives are valuable and may eventually take us in a new direction in terms of leadership development, we are still challenged with the immediate task of providing individuals with a proven and practical way of examining and adapting their daily management and leadership practices in light of cultural diversity.

When we examine the current content in premier management and leadership courses, we find that "cultural differences" are

part of many curricula. While many of these programs suggest that cultural differences are influential, we must find a better way to meaningfully discuss exactly what these differences are and how managers can leverage them for better effectiveness. Therefore, we believe that in order to excel, organizations and individuals need to amplify their understanding and practice of leadership to include a well–defined working model of *Multicultural Leadership* that both raises awareness and provides direction.

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Leadership is always situational and context–specific. The dominant culture or confluence of cultures (national, regional, subgroup, organizational, etc.) in a given context will call for a unique leadership approach. Bordas (2007) defines Multicultural Leadership as "*an inclusive approach and philosophy that incorporates the influences, practices, and values of diverse cultures in a respectful and productive manner*." To do this, a leader needs "the ability to deal with 'multiplexity' – complexity in multiple forms – (which) requires frequent retooling of previous skill sets and a new or expanded repertoire of leadership behaviors" (Gundling, Hogan, & Cvitkovich, 2011). We believe this is the essence of Multicultural Leadership.

When we refer to Multicultural Leadership, we are also referring to an organization's tendency to value and support different leadership styles. Most companies and organizations define and use one preferred leadership model and set of competencies – which is, typically, strongly influenced by western management theory and practice. There is a subtle, albeit inescapable, suggestion that this is the "right" way to lead – not just for the individual organization, but more broadly. Yet, there are many ways to lead that are contextually appropriate for organizational members in different locations and respect the cultural inheritance of the individual leader. At the same time, as the world changes and power relationships shift, other cultural

approaches to leading become more relevant. What needs to happen “at this moment, in this place” may not always be best accomplished by the standard or organizationally accepted approach. Insights into this modern phenomenon of constant change can be found in Native American philosophies and leadership discussions (Smith, 2013).

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Organizations that develop Multicultural Leadership are focused on developing versatile individuals who are skilled at working in various cultural contexts and, ultimately, more aware of the many ways effective leadership can manifest itself. Therefore, they tend to be better able to identify, honor and engage emerging leadership talent wherever in the world it may appear, and in whatever form it might take.

Organizations that adopt this approach understand the need to broaden their leadership expectations, and to learn from and apply management approaches that their diverse leaders inherently bring with them to the organization. We predict that these organizations will also be more successful because they will be better positioned to: recognize high–potential talent in local markets; engage employees everywhere for higher retention and productivity; problem–solve creatively and innovate quickly; see and seize opportunities; and contribute positively to a sustainable world.

Implications for Leadership Development

Our years of work with leaders in the United Nations system, arguably the most complex multicultural organizational system in the world, have been revealing in terms of how they view the broad range of their leadership development experiences. What we hear from these global leaders is that:

1. There ARE basic approaches to effective leadership and management;

2. Western leadership models predominate; and

3. These models are not sufficient to address current organizational realities and needs of managers. Many even perceive that the dominance of the western management tradition is receding in an increasingly global landscape.

One of the participants in our Leadership Development Program (LDP) expressed it this way: "*Eastern culture seems to be quieter and less transparent, which clashes with the western culture. So, some aspects from my Japanese culture, like lack of transparency, may not be working in the western culture. Yet we can see the eastern way moving towards the western way and vice versa*."

John Adair also has a new vision of leadership as one "*based upon the foundation of eastern, western and tribal wisdom about leadership. It's no longer the preserve of American theorists. We've moved into a different era in the way we think about leadership*" (Adair, 2013).

Operating within different "worlds," these managers need to know how leadership is applied in different settings and cultures. Regardless of their specific geographic location, they need to be anthropologists, constantly seeking culturally related information and interpreting the data uncovered in light of specific individuals and situations. Hochschild found that successful UN leaders had a "profound understanding of the terrain they seek to change." At the same time, a leader has to be true to his or her own culture and develop a style based on his or her background, adding new competencies as appropriate. A South American leader we worked with observed that, "*You cannot camouflage yourself;*

"We've moved into a different era in the way we think about leadership."

-John Adair

you have to be authentic, but also understand and respect others' cultures."

We are not suggesting that a baseline of common leadership skills that describes an "effective" global leader is not appropriate. Skills such as effective communication, relationship building and establishing trust are critical for all leaders to have. However, we also believe that there are many interpretations of leadership and that organizations will increasingly benefit by being more flexible in their expectations of leaders, while leaders will need to become more versatile in their styles and expressions.

We might guide them in developing a deeper understanding and appreciation of eastern and indigenous (along with western) leadership styles/models – as well as the specific implications and approaches of each.

We recognize that, in order for leaders to read the cultural context of a situation and to consider the uniqueness of the relationships, they may need to recognize various cultural mental models of leadership to raise their awareness and increase their sensitivity. To do this, we might guide them in developing a deeper understanding and appreciation of eastern and indigenous (along with western) leadership styles/models – as well as the specific implications and approaches of each.

For example, when presenting approaches and practices that are considered predominantly western, we can identify the considerations and potential adaptations for eastern and indigenous styles. In our experience with global leaders, many report that although they often apply "western" management approaches, they must include some behaviors from their culture to be viewed as effective by others. One African leader reported that he tried to adopt western management approaches and was viewed as a "comedian" (i.e., not taken seriously). A Malian leader noted that while western leadership is based on efficiency, leadership in its essence is based on values and culture which in some instances may require spending 30 minutes with staff each morning in relationship

building. An Italian leader noted that "*leadership is based on the power of wisdom, not the wisdom of power*." American leaders are expected to show assertiveness and boldness, whereas eastern leaders are expected to demonstrate quiet inner strength and perseverance; and indigenous leaders are expected to be defined by their relationships with others. By holistically exploring western, eastern and indigenous leadership approaches, we will help individuals create mental images that they can anchor to the models being presented and give them a frame of reference for considering other options.

There are many models attributed to western style leadership practices that actually reflect values and traditions coming from eastern and indigenous cultures.

We might also explore taking current research and theory on leadership experience, such as the work of Hofstede, and translating it into specific assumptions that can then be tested and validated in real life situations. Hofstede has outlined a number of different management styles related to particular cultures, and described the traits and behaviors that align with them. For example, his findings suggested that Culture A prefers or expects a leader to behave in a command–and–control manner, while Culture B expects or prefers leaders to be more participative and consensus–oriented. We might take this a step further by examining additional management implications of his specific dimensions. Examples include: higher "power distance" often emphasizes professionalism and expertise while higher "uncertainty avoidance" often results in senior leadership delegating implementation roles to lower level employees in the organizational hierarchy; "collectivism" often results in easier intiation of projects and more risk taking, but the implementation of projects can be more difficult. For any leader or manager operating in a global context, these are extremely helpful insights which can be considered in various cultural settings. We believe that all managers should be equipped with this information, and should become adept at operating with different leadership styles.

We know that leaders operating within a global context must be attentive to cultural differences and interculturally competent in their behavior.

Another key implication we see is shifting the focus for learning from primarily structured approaches for building specific "competencies" or "behaviors" to a more relational learning approach that takes place in the context of the actual cultural and leadership challenges being faced by program participants. This will better enable them to build capacities for "in the moment" learning/skill–building and "on the spot" cultural adaptation. We believe this can be achieved through carefully crafted case studies and "deep dive" discussions.

Finally, there are many models attributed to western style leadership practices that actually reflect values and traditions coming from eastern and *indigenous* cultures. In our leadership courses, we teach *Appreciative Leadership*, based on Appreciative Inquiry (Cooperrider, 1990) which embodies an eastern philosophy, and *Personal Leadership* (Schaetti, Ramsey, Watanabe, 2008) which is a fusion of cultural values. Additionally, we stress tools and techniques for effective collaboration which is also strongly valued in indigenous cultures. We might rethink the positioning of models like these in order to link them accordingly to western, eastern and indigenous leadership styles to demonstrate both the nuances, as well as the flexibility of such approaches.

Next Steps

What has been outlined here is not new. We have known for some time that leadership is situational, contextual and adaptive (Heifetz, Grashow, & Linsky, 2009). We also know that leaders operating within a global context must be attentive to cultural differences and interculturally competent in their behavior.

However, the increasing importance and indeed *dependence* on these aspects of leadership in the world in which we find

ourselves is noteworthy. Leaders are exhorted to be authentic and true to themselves and, at the same time, to adapt to the context in which they are operating. In addition, the ability to create and build from the wisdom of the group – i.e., to "crowd–source" – and to facilitate respectful discourse and understanding are becoming critical to organizational success.

In the Ubuntu leadership philosophy, this is described as communicative action (Ncube, 2010). In her article "Ubuntu: A Transformative Leadership Philosophy," Lisa Ncube explains that at the heart of Ubuntu, "is the relationship with others" and "understanding what it means to be connected to one another." Likewise, Ali Muhamma Mir (2010) explains in "Leadership in Islam" that Muslims believe in the power of consensus or mutual consultation as a way to foster a spirit of collectivism, shared responsibility, and to generate team spirit.

The capacity to "build consensus in a divided world" will be increasingly valued. The "I–Thou" relationship described by Buber (1923) in which one trusts oneself (one's own culture, traditions and heritage) while finding and respecting the "other" is now fundamental to the sustainability of organizations and societies.

As we have indicated, it is important that a leader be aware of the culture (or cultures) that shaped his or her own values and assumptions. Edgar Schein noted, "*Knowledge of other cultures begins with becoming conscious of making explicit one's own cultural assumptions. Cultural understanding and cultural learning start with self–insight*." We believe that this must be part of the self–discovery aspect of all leadership development initiatives.

It is also important for leaders to recognize how the culture of the organization impacts the leadership styles and practices that are modeled, appreciated and rewarded. Numerous studies

have demonstrated that organizational culture can override national culture, and that managers and employees will adapt their behavior to their organizational culture and values. Recognizing this, we will continue to pose these questions to the participants in our leadership programs:

If we are able to truly acknowledge several culture-related leadership styles, what unique characteristics, models and practices of each might we consider incorporating into our leadership development efforts?

1) How does your personal cultural orientation synchronize with the leadership culture of your organization?

2) How does the culture of your organization help define your leadership values and practices?

3) How might taking a different cultural approach in a complex leadership situation be considered a "prudent risk?"

While groups are continuing to study various aspects of global/worldly leadership, we are also staying engaged in the questions we feel are critical to the effectiveness of our leadership development efforts. Through our ongoing interaction with our international clients, as well as our facilitators and coaches who are located throughout the world, we will continue to seek answers for these kinds of questions and will share what we learn with you. Some of our questions include:

- What are the common leadership competencies that resonate with all of us?
- How do we most effectively address both the "being" and "doing" of effective leadership?
- If we are able to truly acknowledge several culture–related leadership styles, what unique characteristics, models and practices of each might we consider incorporating into our leadership development efforts?

- Beyond leadership styles and models, what approaches and traditions might serve to amplify multicultural awareness for leaders?
- What are the mental models and representative stories that capture the essence of Multicultural Leadership?
- What tools and techniques are most useful for managers to become highly effective global leaders?
- What are the implications of Multicultural Leadership for recruiting, hiring, retention, and performance management?

And finally, because we appreciate that Multicultural Leadership is both critical and complicated, we will continue to explore:

- Incorporating the leadership approaches of western, eastern and indigenous styles in our program content and then ensuring that our methodology encourages the exploration of all three.
- Examining current and emerging thinking regarding global leadership traits and skills versus competencies in order to determine their relevance and applicability to real–life management and leadership situations.
- Translating current multicultural research and information into practical tools that our program participants can refer to back on the job.

As we at EnCompass acknowledge that *one dominant leadership model is not enough in today's global work environment*, we look forward to continuing with you on this journey of discovery and learning as we strive to positively impact leadership on our planet.

One dominant leadership model is not enough in today's global work environment.

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Our work in understanding and framing this White Paper on Multicultural Leadership has been an ongoing focus in EnCompass for several years. This work has been led by Laverne Webb, CEO of EnCompass, Jeri Darling, Senior Advisor to EnCompass, and Nanette Alvey, Director of Leadership Programs at EnCompass.

Significant research and analyses were contributed by Nina Talley, Tamara Filipovic and Lyrae Myxter. Members of our Global Consultant Network, who have served as facilitators of leadership development in the United Nations system and with other global clients, have contributed their experiences, learning, and wisdom to help challenge and shape our thinking on the implications of Multicultural Leadership for our leadership development work.

Join the Conversation

EnCompass is deeply committed to being a learning organization and a learning partner with our clients and team members on the front lines with those we serve. In this spirit, we began this study into the implications of Multicultural Leadership in 21st Century leadership development efforts.

Please contact us with questions or comments and to share your own stories and ideas related to Multicultural Leadership.

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